

# Mobile Banking Application Project Case Study

## Case Study Narrative

Assume the role of a project manager working alongside members of a large bank's Project Management Office (PMO). The team has been tasked with developing a mobile banking application that allows users to perform banking transactions, view account balances, transfer money, pay bills, enhance customer convenience, and reduce operational costs.

## Project Overview

- **Project Name:** Development of a Mobile Banking Application
- **Objectives:**
  - Enable users to perform banking transactions
  - View account balances
  - Transfer money and pay bills
  - Enhance customer convenience and reduce operational costs
- **Expected ROI:** 25% within two years
- **Initial Investment:** \$500,000
- **Project Duration:** 12 months
- **Estimated Financial Benefits:**
  - **Revenue:** \$200,000 per year
  - **Savings:** \$50,000 per year

## Original Baselines

### Scope Baseline

- Fully functional mobile banking app with core banking features
- Integration with existing banking systems

### Schedule Baseline

| Phase       | Duration |
|-------------|----------|
| Planning    | 1 month  |
| Development | 6 months |

| Phase                 | Duration         |
|-----------------------|------------------|
| Testing               | 3 months         |
| Deployment            | 2 months         |
| <b>Total Duration</b> | <b>12 months</b> |

## Cost Baseline

| Phase             | Estimated Cost   |
|-------------------|------------------|
| Planning          | \$50,000         |
| Development       | \$300,000        |
| Testing           | \$100,000        |
| Deployment        | \$50,000         |
| <b>Total Cost</b> | <b>\$500,000</b> |

## Updated Baselines

After 6 months, additional security features were required due to new regulatory requirements.

### Updated Scope

- Includes additional security features

### Updated Schedule

| Phase                 | Revised Duration                |
|-----------------------|---------------------------------|
| Planning              | 1 month                         |
| Development           | 8 months (extended by 2 months) |
| Testing               | 3 months                        |
| Deployment            | 2 months                        |
| <b>Total Duration</b> | <b>14 months</b>                |

## Updated Cost

| Phase             | Estimated Cost                     |
|-------------------|------------------------------------|
| Planning          | \$50,000                           |
| Development       | \$400,000 (increased by \$100,000) |
| Testing           | \$100,000                          |
| Deployment        | \$50,000                           |
| <b>Total Cost</b> | <b>\$600,000</b>                   |

## Important Project Notes

Experts warn that if the security feature is not included, there is a **90% probability** of a severe threat with an **impact of \$80,000**. If included, the risk reduces to a **5% probability** with an **impact of \$6,000**.

The revised development duration was validated using **PERT (Program Evaluation and Review Technique)**:

- **Optimistic (O)**: 7 months
- **Most Likely (ML)**: 8 months
- **Pessimistic (P)**: 9 months
- **Expected Duration (E)**:  $(O + 4 \cdot ML + P) / 6 = (7 + 4 \cdot 8 + 9) / 6 = (7 + 32 + 9) / 6 = 48 / 6 = 8$  months